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Case Number: 26SMCV00536 Hearing Date: July 14, 2026 Dept: 205

Superior
Court of California

County
of Los Angeles – West District

Beverly Hills Courthouse / Department 205

ZIBA NEJAD, et al.,

Plaintiffs,

v.

Tentative, a
California nonprofit mutual benefit corporation, et al.,

Defendants.

Case No.:
26SMCV00536

Hearing Date: January 22, 2025

[TENTATIVE]
orderS RE:

DEFENDANTS’ MOTION FOR RELIEF REQUIRING

PLAINTIFF MORIS SAKHAI TO FURNISH SECURITY OR, IN THE ALTERNATIVE, DISMISSAL OF THE COMPLAINT AS TO PLAINTIFF MORIS SAKHAI

Defendants'
Demurrer to plaintiffs' complaint and motion to strike plaintiffs' complaint

BACKGROUND

Plaintiffs
Ziba Nejad, Asi Rayn, Moris Sakhai, Dr. Kathy Gohar, and Ehetram Behroozan (collectively, "Plaintiffs") are individual homeowners and members in good standing of the Wilshire Manning Homeowners Association ("Association"). (Compl., ¶ 1.) Plaintiffs owned condominium units located at 10660 Wilshire Boulevard, Los Angeles, California (the "Property"). (Id. at ¶ 2.) Plaintiffs bring this action against Defendants Wilshire Manning Homeowners Association, Wilshire Manning Management, Doe Board Members, Sherrie Khosrovani, and Does 1 through 25 to enforce statutory inspection rights, compel disclosure of mandatory Association records, challenge unlawful governance practices, enforce fiduciary obligations, and protect membership rights. (Id. at ¶ 3.)

Plaintiffs allege that
in or around November 26, 2025, and continuing through January 19, 2026, Plaintiffs engaged in extensive written communications with the Association, its management, and legal counsel regarding governance, financial practices, assessment

increases, building conditions, meeting requests, and statutory inspection rights and seeking access to books and records. (Id. at ¶¶ 5, 6.) The Association failed to timely and meaningfully produce the requested records. (Id. at ¶ 9.) The Association also failed to provide legally required notices of Board meetings, membership meetings, and governance actions. (Id. at ¶ 13.) To date, the Association has not cured its violations. (Id. at ¶ 18.)

On January 27, 2026,
Plaintiffs filed a Complaint alleging 15 causes of action for (1) Violation of Davis-Stirling Act – Failure to Produce Association Records (Civ. Code §§ 5200–5240; 5210; 5235); (2) Violation of Civil Code § 5235 – Enforcement of Records Inspection

Rights; (3) Breach of Governing Documents (CC&Rs & Bylaws) (Civ. Code § 5975); (4) Breach of Contract; (5) Breach of Fiduciary Duty (Board of Directors); (6) Breach of Implied Covenant of Good Faith and Fair Dealing; (7) Violation of Open Meeting Act (If Applicable) (Civ. Code §§ 4900–4955); (8) Violation of Assessment Notice and Approval Requirements (Civ. Code §§

5605, 5615); (9) Accounting; (10) Waste of Corporate Assets; (11) Declaratory Relief(Code Civ. Proc. § 1060); (12) Injunctive Relief (Compelling Records Production, Governance Compliance, and Preservation of Evidence); (13) Unfair Business Practices (Bus. & Prof. Code § 17200 et seq.); (14) Negligence; and (15) Equitable Relief – Removal of Directors.

On June 2, 2026,
Defendants Wilshire Manning Homeowners Association, Sherrie

Khosrovani, and Board Member Does 1 – 5 ("Defendants") filed the Motion for Relief Requiring Plaintiff Moris Sakhai ("Sakhai") to Furnish Security, or in the alternative, Dismissal of the Complaint as to Plaintiff Moris Sakhai ("Motion for Relief").

On June 8, 2026,
Defendants filed a Demurrer to Plaintiff's Complaint and a Motion to Strike Plaintiff's Complaint.

On June 30, 2026,
Plaintiff Asi Rayn ("Plaintiff") filed an opposition to the Demurrer.

On July 2, 2026,
Defendants filed a Notice of Sakhai's Non-Opposition to the Motion for Relief, Notice of Sakhai's Non-Opposition to the Motion to Strike, and Notice of Sakhai's Non-Opposition to the Demurrer.

On July 7, 2026, Sakhai
filed a late opposition to the Motion for Relief, the Demurrer, and the Motion to Strike.

DEMURRER

REQUEST FOR JUDICIAL NOTICE

Defendants request judicial notice of the order regarding Sakhai and other plaintiffs' February 11, 2026 Ex Parte Application. The request is granted. The Court takes notice that the Ex Parte application was filed in this court, but not the truth of any facts asserted in the Ex Parte application. (See Starr v. Ashbrook (2023) 87 Cal.App.5th 999, 1014.)

LEGAL STANDARD

As a general matter, in a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not the evidence or facts alleged." (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Ibid.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

"The party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in section 430.30, to the pleading on any one or more of the following grounds... (e) the pleading does not state facts sufficient to constitute a cause of action. (f) The pleading is uncertain. As used in this subdivision, "uncertain" includes ambiguous and unintelligible." (Code Civ. Proc. [AW13.1]§ 430.10.) "[D]emurrers for uncertainty are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond." (A.J. Fistes Corp. v. GDL Best Contractors, Inc. (2019) 38 Cal. App. 5th[AW14.1] 677, 695.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Id. [AW15.1]; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, "[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend." (Youngman v. Nevada

Irrigation Dist. (1969) 70 Cal.2d 240, 245).

DISCUSSION

A.
Timeliness
of Service of Complaint

Defendants dispute the timeliness of the service of the Complaint. Defendants contend that the Complaint was filed on January 27, 2026 and not served until May 7, 2026. Plaintiff argues that Defendants refused to accept service. (Tehrani Decl., ¶ 4, Ex. A.)

Timeliness of service of a complaint is not listed as a ground for objection by demurrer in Civil Procedure section 430.10. The Court will evaluate the demurrer on its merits.

B.
First
Cause of Action for Violation of Davis-Stirling Act, Failure to Produce Association Records and Second Cause of Action for Violation of Civil Code § 5235 – Enforcement of Records Inspection

Defendants argue the first two causes of action fail because, by acknowledging unreasonable costs, Plaintiffs implicitly admit that they would have paid the costs if they were reasonable. Also, the Complaint never mentions that they agreed to pay costs or how much the costs were. Additionally, there are limitations to record requests under section 5200. The records requests fall flat because they demand types of documents that are not required to be provided or the documents demanded are too vague.

In opposition, Plaintiff argues that the requirement to provide a cost estimate is an obligation of the Association. Moreover, Plaintiffs repeatedly demanded the invoice, and it was never provided.

Under section 5235, a member may bring an action to enforce that member's right to inspect and copy the association records. (Civ. Code, § 5235.) Under the Davis-Stirling Act, section 5200, association records are defined to include a variety of documents such as financial documents, interim financial statements including balance sheets, income and expense statements, budget comparison, a general ledger, and more. (See Civ. Code, § 5200.) The association shall make available association records for the time periods and within the timeframes provided in Section 5210 for inspection and copying by a member of the association, or the member's designated representative. (Civ. Code, § 5205, subd. (a).)

Here, Plaintiffs have alleged that they are members in good standing of the Association. (Compl., ¶¶ 1, 37.) Plaintiffs allege they submitted multiple written records demands beginning in November 26, 2025, and continuing through January 19, 2026. (Id. at ¶ 2.) Plaintiffs specifically requested documents such as: financial statements and general ledgers, operating and reserve bank account records, vendor contracts, invoices, and payment records, board and membership meeting minutes, reserve studies and reserve funding disclosures, insurance policies and claims history, assessment notices and financial justifications, and governance and corporate records. (Id. at ¶¶ 26, 38.) Plaintiffs also alleged that the Association acknowledged receipt of the requests but did not produce records and conditioned compliance on vague cost estimates. (Id. at ¶ 10.) Thus, Plaintiffs have sufficiently pled causes of action under the Davis-Stirling Act and section 5235.

The Court does not find Defendants' argument to be persuasive. Reasonableness of alleged costs or scope of the documents requested is not something determined within the scope of a demurrer.

Accordingly, the demurrer to the first two causes of action is overruled.

C. Third and Fourth Causes of Action for Breach of Governing Documents and Breach of Contract

Defendants argue that Plaintiffs essentially plead the same facts in these causes of action as they do for the rest of the causes of action. Thus, the same arguments that applied to the first two causes of action apply here. Defendants argue that the cause of action fails because Plaintiffs failed to attach an email to the Complaint. Defendants argue that Plaintiffs did not allege they were barred from attending monthly board meetings. Moreover, the causes of action repeat bald statements with no examples.

In opposition, Plaintiff argues that the Complaint specifically alleges breach of governing document obligations relating to: (1) maintenance of adequate financial records and oversight procedures; (2) proper notice and conduct of Board and membership meetings; (3) proper assessment collection procedures; (4) maintenance of common area property in accordance with the CC&Rs; and (5) proper administrative governance generally. Moreover, a single course of conduct may give rise to statutory and contract liability.

The covenants and restrictions in the declaration shall be enforceable equitable servitudes, unless unreasonable, and shall inure to the benefit of and bind all owners of separate interests in the development. Unless the declaration states otherwise, these servitudes may be enforced by any owner of a separate interest or by the association, or by both. (Civ. Code, § 5975.) To state a breach of contract claim, a plaintiff must allege: (1) existence of the contract; (2) plaintiff's performance or excuse for non-performance; (3) defendant's breach; and (4) resulting damages. (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.)

Here, the Court does not find Defendants' argument that the Complaint repeats bald statements with no examples to be persuasive. Plaintiffs have alleged that they are members of the Association and beneficiaries of the rights, protections, and obligations set forth in the CC&Rs and Bylaws. (Compl., ¶ 48.) Plaintiffs list the mandatory and contractual duties imposed by the CC&Rs and Bylaws. (See id. at ¶ 49, 59.) In each cause of action, Plaintiffs also allege specific conduct in breach of the CC&Rs and Bylaws. (See id. at ¶¶ 50, 61.) Plaintiffs allege resulting damages, such as damages, loss of rights, uncertainty, and financial prejudice. (See id. at ¶¶ 56, 64.) Thus, Plaintiffs have sufficiently pled the third and fourth causes of action.

Accordingly, the demurrer to the third and fourth causes of action is overruled.

D.
Fifth
Cause of Action for Breach of Fiduciary Duty

Defendants contend that Boards are given broad discretion to make decisions so long as they are made in good faith. Defendants argue Plaintiffs have failed to allege anything to conclude Defendants took any particular action in an effort to harm Plaintiffs. Defendants argue that Plaintiffs are not entitled to all the documents they have requested and failed to pay administrative costs to receive the demanded records. Additionally, raising dues is not evidence of misappropriation of funds. Finally, Defendants argue that Plaintiffs received an email reminder of the January election.

In opposition, Plaintiff contends that homeowner associations and their directors owe fiduciary duties to the members of the association. Plaintiff argues that the Complaint alleges the Association's failure to comply with mandatory, non-discretionary statutory obligations under the Davis-Stirling Act, rather than a decision protected by the business judgment rule. The Complaint alleges bad faith and is not conclusory.

"The elements of a cause of action for breach of fiduciary duty are the existence of a fiduciary relationship, breach of fiduciary duty, and damages." (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 820.) The directors of a nonprofit mutual benefit corporation are fiduciaries who must act for the benefit of the corporation and its members. (Coley v. Eskaton (2020) 51 Cal.App.5th 943, 958.) This fiduciary duty extends to individual homeowners, not just the homeowners association. (Ibid.)

Here, the Complaint adequately pleads (1) fiduciary duty, (2) breach, and (3) damages. The Complaint states that Defendants owed fiduciary duties to Plaintiffs under the Davis-Stirling Act, CC&Rs, and the Bylaws. (Compl., ¶ 68.) The Complaint lists out seven fiduciary obligations. (Id. at ¶ 69.) The Complaint then alleges a list of breaches, including:

"a. Failing to provide required books, records, and financial disclosures, despite repeated written statutory demands;

b. Failing to act with transparency and accountability regarding Association finances, budgets, reserves, vendor contracts, and expenditures;

c. Failing to comply with statutory and contractual governance obligations, including proper notice of meetings and assessment actions;

d. Ignoring or dismissing member demands for lawful oversight and records access;

e. Failing to supervise management and vendors, resulting in financial opacity and governance breakdown;

f. Acting in a manner that favored Board convenience and concealment over member rights and Association interests;

g. Failing to exercise reasonable care, diligence, and good faith in carrying out their statutory and contractual duties."

(Id. at ¶ 70.)

Finally, the Complaint alleges damages. It states: "As a direct and proximate result of Defendants' breaches of fiduciary duty, Plaintiffs have suffered loss of statutory and contractual rights, impaired ability to monitor and protect Association assets, exposure to financial mismanagement risk, governance harm and erosion of trust, and financial and equitable injury in an amount to be proven at trial." (Id. at ¶ 72.) Whether the business judgment rule applies is a dispute outside the scope of the demurrer.

Accordingly, the demurrer to the fifth cause of action is overruled.

E. Sixth Cause of Action for Breach of Implied Covenant of Good Faith and Fair Dealing

"There is an implied covenant of good faith and fair dealing in every contract that neither party will do anything which will injure the right of the other to receive the benefits of the agreement. [Citation.]" (Comunale v. Traders & Gen. Ins. Co. (1958) 50 Cal.2d 654, 658.) To allege a breach of the implied covenant of good faith and fair dealing, the plaintiff must allege, "'something beyond breach of the contractual duty itself' and it has been held that '[b]ad faith implies unfair dealing rather than mistaken judgment ....'" (Careau & Co. v. Sec. Pac. Bus. Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394, internal citations omitted.)

Defendants argue that the Complaint merely shows there is a contractual relationship. In opposition, Plaintiff argues that the Complaint alleges beyond mere contractual obligations and includes allegations that Defendants engaged in bad faith conduct that frustrated Plaintiff's reasonable expectations and denied Plaintiffs benefits of their contractual rights.

Here, the Complaint alleges a contractual relationship. (Compl., ¶ 77.) The Complaint also lists the expectations and benefits that Plaintiffs reasonably expected to receive. (Id. at ¶ 79.) The Complaint also lists conduct that "unfairly frustrated Plaintiffs' contractual rights" which go beyond listing mere breaches of contract. (Id. at ¶ 80.) The Complaint also alleges Plaintiffs have suffered economic harm, loss of statutory and contractual rights, governance injury, and equitable damages. (Id. at ¶ 82.) Thus, the cause of action is sufficiently pled.

Accordingly, the demurrer to the sixth cause of action is overruled.

F. Seventh Cause of Action for Violation of Open Meeting Act

Defendants contend that Plaintiffs' seventh cause of action fails because it cursorily references Civ. Code sections 4900 to 4955, without, in any meaningful manner, indicating which provisions of these multiple code provisions the Defendants are allegedly in violation of. Moreover, Plaintiffs have only alleged not receiving notice of the January 2026 election, not that they were unable to attend. Additionally, Defendants argue that Plaintiffs received an email reminder of the January election.

In opposition, Plaintiff argues that a party may plead claims in the alternative and that inconsistent allegations are permissible. Moreover, the Complaint alleges specific failures relating to board and membership meetings, failure to provide proper advance notice, failures to allow member participation, and failure to maintain required meeting minutes. Whether a meeting is subject to the Open Meeting Act depends on the type of meeting, which is information only in Defendants' knowledge and to be established through discovery. Whether the Act applies to specific meetings is a factual question for trial.

According to the Open Meeting Act, the association is to give notice of the time and place of a board meeting at least four days before the meeting. (Civ. Code, § 4920 subd. (a).) An emergency board meeting may be called by the president of the association, or by any two directors other than the president, if there are circumstances that could not have been reasonably foreseen which require immediate attention and possible action by the board, and which of necessity make it impracticable to provide notice as required by Section 4920. (Civ. Code, § 4923.) The board may not discuss or take action on any item at a nonemergency meeting unless the item was placed on the agenda included in the notice that was distributed pursuant to subdivision (a) of Section 4920. (Civ. Code, § 4930, subd. (a).) The minutes, minutes proposed for adoption that are marked to indicate draft status, or a summary of the minutes, of any board meeting, other than an executive session, shall be available to members within 30 days of the meeting. (Civ. Code, § 4950, subd. (a).) A member of an association may bring a civil action for declaratory or equitable relief for a violation of this article by the association, including, but not limited to, injunctive relief, restitution, or a combination thereof, within one year of the date the cause of action accrues. (Civ. Code, § 4955, subd. (a).)

Here, the Court disagrees with Defendants' argument that the Complaint does not indicate which code provisions the Defendants are in violation of. The Complaint clearly states:

"Civil Code section 4920 mandates that members receive at least four days' notice of Board meetings, while Civil Code section 4923 strictly limits emergency meetings to urgent circumstances meeting statutory criteria. Civil Code section 4930 prohibits Boards from taking action on matters not included in the posted agenda except as permitted by law, and Civil Code section 4950 requires the

Association to maintain and make available minutes reflecting Board actions and decisions."

(Compl., ¶ 86.)

Moreover, the Complaint alleges multiple violations of the Open Meeting Act, including failing to provide proper notice of Board meetings, failing to produce meeting minutes at the homeowner's requests, sending notice of an election only two days before the election, and failing to provide agendas. (Id. at ¶¶ 87-89.) Because the cause of action is sufficiently pled, the demurrer to the seventh cause of action is overruled.

G.
Eighth
Cause of Action for Violation of Assessment Notice and Approval Requirements

Defendants argue that Plaintiffs' eighth cause of action fails because the Complaint presents no information about how much the dues are being increased on an annual basis. An association is permitted to raise assessments up to twenty percent (20%) annually without a vote of the membership. Without alleging that the Association increased the membership dues, there cannot be a finding of wrongdoing. As members in good standing of the Association, Plaintiffs would know how much they pay per month. Being dissatisfied with an increase is insufficient.

In opposition, Plaintiffs agree that Civil Code section 5605(b) requires a membership vote for assessment increases exceeding 20% of the budgeted assessment for the current fiscal year. However, even assessment increases below the 20% threshold are subject to procedural requirements under the Davis-Stirling Act.

Here, the Complaint alleges violations under Civil Code sections 5605 and 5615. Section 5605(a) states: "Annual increases in regular assessments for any fiscal year shall not be imposed unless the board has complied with paragraphs (1), (2), (4), (5), (6), (7), and (8) of subdivision (b) of Section 5300 with respect to that fiscal year, or has obtained the approval of a majority of a quorum of members, pursuant to Section 4070, at a member meeting or election." (Civ. Code, § 5605.) Section 5300 explains that an association shall distribute an annual budget report 30 to 90 days before the end of its fiscal year and what the annual budget report shall contain. (Civ. Code, § 5300.) Section 5615 specifically states that the association shall provide individual notice to members of any increase in the regular or special assessments of the association, not less than 30 nor more than 60 days prior to the increased assessment becoming due. (Civ. Code, § 5615.)

The Complaint alleges that there was an increase in the assessments in or around December 2025 through January 2026. (Compl., ¶ 96.) The Complaint also alleges that the Plaintiffs did not receive notice prior to the increase of the assessments. (Ibid.) Plaintiffs also allege that they requested documentation of the increase and were not provided it. (Ibid.) Because the Complaint alleges an increase of the assessments without notice, Plaintiffs have sufficiently alleged a violation of 5615, regardless of the fact that they did not include how much the increase was for. Section 5615 clearly states that there must be notice regardless of the amount of increase. The Complaint has sufficiently pled violations of these Civil Code sections. Accordingly, the demurrer as to the eighth cause of action is overruled.

H.
Ninth
Cause of Action for Accounting

Defendants argue that Accounting is an equitable remedy and not a valid cause of action. Alternatively, Defendants argue that Plaintiffs failed to allege some balance is due to them that cannot be ascertained without an accounting. Plaintiffs do not allege they are actually owed anything from the Association.

In opposition, Plaintiff argues that the cause of action is not a substitute for a damages claim. Plaintiff contends Plaintiffs have alleged (1) a relationship is present, (2) that the accounts are complex, (3) that the Plaintiffs cannot determine the state of accounts without judicial assistance because Defendants have refused to provide any financial records, and (4) that money damages cannot provide transparency and accountability.

Here, the Court agrees that accounting is an independent cause of action, rather than a remedy. California courts have recognized that a plaintiff may bring an independent cause of action for accounting: “A cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting. An action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation.” (Teselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179 [citations omitted].)

Furthermore, the Complaint alleges a fiduciary relationship between Defendants and Plaintiffs. (Compl., ¶ 102.) The Complaint alleges that this is an amount that can only be ascertained by accounting. (Id. at ¶ 104.) The Complaint does not allege the right to recover an amount that can be made certain by calculation. The Complaint alleges that accounting is necessary, demonstrating that legal remedies are inadequate. (Id. at ¶ 106.) Thus, Plaintiffs have adequately pled a cause of action for equitable accounting.

Accordingly, the demurrer to the ninth cause of action is overruled.

I.
Tenth
Cause of Action for Waste of Corporate Assets

Defendants argue that this cause of action should be brought in a derivative suit, which it is not. The Court agrees. A claim of mismanagement resulting in corporate waste, if proven, represents a direct wrong to the corporation that is indirectly experienced by all shareholders. (Schuster v. Gardner (2005) 127 Cal.App.4th 305, 316.) The instant case is not a derivative suit brought on behalf of the corporation. Thus, the demurrer to the tenth cause of action is sustained without leave to amend.

J.
Eleventh
Cause of Action for Declaratory Relief

Defendants argue the allegations outline past wrongs that the Plaintiffs are asking the Court to redress. The lack of immediate, future harm is fatal to the cause of action. In opposition, Plaintiff argues that the violations alleged are ongoing.

"To qualify for declaratory relief, a party would have to demonstrate its action presented two essential elements: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the party's rights or obligations." (Jolley v. Chase Home Finance, LLC (2013) 213 Cal.App.4th 872, 909, quotation marks and brackets omitted.)

A cause of action for declaratory relief should not be used as a second cause of action for the determination of identical issues raised in another cause of action. (General of America Insurance Co. v. Lilly (1968) 258 Cal.App.2d 465, 470.) "The availability of another form of relief that is adequate will usually justify refusal to grant declaratory relief" (California Insurance Guarantee Association v. Superior Court (1991) 231 Cal.App.3d 1617, 1624), and a duplicative cause of action is subject to demurrer (Palm Springs Villas II Homeowners Association, Inc. v. Parth (2016) 248 Cal.App.4th 268, 290). Further, "there is no basis for declaratory relief where only past wrongs are involved." (Osseous Technologies of America, Inc. v. DiscoveryOrtho Partners LLC (2010) 191 Cal.App.4th 357, 366, quotation marks omitted.)

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for declaratory relief. The Court finds that the Plaintiffs' declaratory relief claim is derivative of the preceding claims in the Complaint. Moreover, other requested relief, such as damages, orders, and injunctions, is adequate to remedy the alleged violations of the Davis-Stirling Act and contractual obligations. Additionally, the court agrees that the violations of the alleged Davis-Stirling Act and contractual obligations are past wrongs that Plaintiffs seek the Court to redress. Accordingly, the demurrer as to the eleventh cause of action is sustained without leave to amend.

K. Twelfth Cause of Action for Injunctive Relief

Defendants argue the twelfth cause of action fails because injunctive relief is a remedy, not a cause of action. The Court agrees with Defendants. Injunctive relief is a remedy, not a cause of action. (City of S. Pasadena v. Dep't of Transportation (1994) 29 Cal.App.4th 1280, 1293.) Moreover, “a permanent injunction is merely a remedy for a proven cause of action. It may not be issued if the underlying cause of action is not established.” (Ibid.) Thus, Plaintiffs’ twelfth cause of action is improper. Accordingly, the Court sustains the demurrer to the twelfth cause of action without leave to amend.

L.
Thirteenth
Cause of Action for Unfair Business Practices

Defendants argue that Plaintiffs fail to assert a cause of action for unfair business practices because Plaintiffs only make vague references to improprieties but present nothing certain. Defendants contend that Plaintiffs’ allegation of fraud is conclusory and lacking specificity. Defendants also argue that Plaintiffs have not demonstrated resulting damages.

In opposition, Plaintiff argues that the Associations engaged in business practices when it collects assessments, contracts with vendors, manages finances, and administers the affairs of the community. Plaintiff contends that the repeated violations of the Davis-Stirling Act are unlawful and unfair. Plaintiff also argues that Plaintiffs have adequately alleged an injury in fact.

“The standard for finding an unfair practice in a consumer action is intentionally broad, thus allowing courts maximum discretion to prohibit new schemes to defraud. [Citation.] The test of whether a business practice is unfair ‘involves an examination of [that practice’s] impact on its alleged victim, balanced against the reasons, justifications and motives of the alleged wrongdoer. In brief, the court must weigh the utility of the defendant's conduct against the gravity of the harm to the alleged victim .... [Citations.] ... [A]n unfair business practice occurs when that practice offends an established public policy or when the practice is immoral, unethical, oppressive, unscrupulous or substantially injurious to consumers. [Citation.]” (Candelore v. Tinder, Inc. (2018) 19 Cal.App.5th 1138, 1155, internal quotation marks omitted.)

Courts have held that homeowner associations do not participate as a “business” in the commercial market or compete the market when they operate under their governing documents to maintain their premises and conduct required proceedings. (That v. Alders Maint. Assn. (2012) 206 Cal.App.4th 1419, 1427.) Here, Plaintiffs have not alleged conduct demonstrating participation in a commercial market. Instead, the dispute is related to subjects covered by the Davis-Stirling Act. (See id. [finding the dispute was not related to commercial activity where it was solely related to the conduct of association elections, a subject covered thoroughly by the Davis-Stirling Act].)

An association does not participate as a business in the commercial market, much less compete in it. The dispute here is not related to any activity that might be deemed in the least bit commercial. Indeed, it is solely related to the conduct of association elections, a subject covered thoroughly by the Davis–Stirling Act itself. Accordingly, the demurrer to the thirteenth cause of action is sustained without leave to amend.

M. Fourteenth Cause of Action for Negligence

Defendants argue that the factual underpinning for this cause of action is fatally flawed because they have nothing to back up their argument that the Association failed to maintain accurate books and records. Plaintiffs had to have paid administrative costs to inspect records and they did not. Also, Defendants sent a reminder email of the January election. Finally, Plaintiffs never assert how much the Association was raising in dues.

In opposition, Plaintiff argues that Defendants owed Plaintiffs duties of care arising from the Davis-Stirling Act, the CC&Rs and Bylaws, and fiduciary duties imposed on the Board by Corp. Code section 7231. Plaintiff argues that breach of a statutory duty is negligence per se. Plaintiff also argues that causation and damages have been adequately alleged because, but for the breach, Plaintiffs would not have been forced to retain counsel, incur legal fees, and file this lawsuit.

To state a negligence claim, a plaintiff must allege duty, breach, causation, and damages.

(Ladd v. County of San Mateo (1996) 12 Cal.4th 913, 917.) Conduct amounting to a breach of contract becomes tortious only when it also violates a duty independent of the contract arising from principles of tort law. (Erlich v. Menezes (1199) 21 Cal.4th 543, 551.) An omission to perform a contract obligation is never a tort, unless that omission is also an omission of a legal duty. (Ibid.)

Here, Plaintiffs allege
a duty of care which arises from contract. However, Plaintiffs have not sufficiently alleged that the duty violates principles of tort law. Accordingly, the demurrer to the fourteenth cause of action is sustained without leave to amend.

N.
Fifteenth
Cause of Action for Equitable Relief – Removal of Directors

Defendants argue that equitable relief is not
an independent cause of action, but rather a request for a particular outcome. Moreover, equitable relief is predicated upon the validity of independently pled causes of action, which Plaintiffs have failed to assert. Additionally, Plaintiffs have alleged no facts to underscore why removal of the existing directors is warranted, and Plaintiffs concede there was a recent election. Plaintiffs have not shown that a director should be removed for unsound mind or gross abuse of authority, fraudulent or dishonest acts, or breach of duty.

In opposition, Plaintiff argues that
Plaintiff need only allege facts sufficient to support a reasonable inference that the directors' conduct warrants equitable removal. Plaintiff contends that the Complaint alleges a sustained, multi-month pattern of statutory and governing-document violations by the Board of Directors.

The superior court of the proper county may,
at the suit of one of the parties specified in subdivision (b), remove from office any director in case of fraudulent or dishonest acts or gross abuse of authority or discretion with reference to the corporation or breach of any duty arising as a result of Section 7238 and may bar from reelection any director so removed for a period prescribed by the court. The corporation shall be made a party to such action. (Corp. Code § 7223, subd. (a).) An action may be instituted by any of the following:

(1) A director.

(2) In the case of a corporation where the total number of votes entitled to be cast for a director is less than 5,000, twice the authorized number (Section 5036) of members, or 20 members, whichever is less.

(3) In the case of a corporation where the total number of votes entitled to be cast for a director is 5,000 or more, twice the authorized number (Section 5036) of members, or 100 members, whichever is less.

(c) In the case of a corporation holding assets in charitable trust, the Attorney General may bring an action under subdivision (a), may intervene in such an action brought by any other party and shall be given notice of any such action brought by any other party.

(Corp. Code, § 7223, subd. (b).)

Here, the Complaint does not allege facts to meet the requirements of Corp. Code section 7223(b). Moreover, the Complaint did not allege that a complaint was filed by a director or by 20 members of the Association. (See Comm. to Save Beverly Highlands Homes Ass'n v. Beverly Highlands Homes Ass'n (2001) 92 Cal.App.4th 1247, 1263. [noting that in order for the court to remove the Board, Corporations Code section 7223 required that there be a complaint filed by a director or by 20 members of the Association and there was no such complaint in the instant action].) Accordingly, the Complaint does not allege sufficient facts and the demurrer to the fifteenth cause of action is sustained with leave to amend.

MOTION TO STRIKE

LEGAL STANDARD

The court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (Code Civ. Proc., § 436(a).) The court may also strike all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Id., § 436(b).) The grounds for a motion to strike are that the pleading has irrelevant, false or improper matter, or has not been drawn or filed in conformity with laws. (Id., § 436.) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Id., § 437.)

DISCUSSION

Defendants seek to strike (1) punitive damages, (2) production of records, (3) the order compelling production of records, (4) injunctive relief, (5) declaratory relief, (6) request for restitution, disgorgement, and similar relief, (7) request for damages emanating from accounting, (8) request for damages from unfair or fraudulent business practices, and (9) request for the removal of board members.

A. Punitive Damages

Defendants seek to strike Plaintiffs' request for punitive damages as improper. Specifically, Defendants contend that Plaintiffs have failed to prove by clear and convincing evidence that Defendants are guilty of fraud, malice, or oppression. Plaintiffs have failed to allege conduct sufficient to demonstrate fraud, malice, or oppression.

In opposition, Plaintiff argues that the Complaint alleges a systematic, knowing, and ongoing pattern of withholding records.

"In order to state a prima facie claim for punitive damages, a complaint must set forth the elements as stated in the general punitive damage statute, Civil Code section 3294." (Today IV's Inc. v. Los Angeles County MTA (2022) 83 Cal.App.5th 1137, 1193.) Civil Code section 3294 provides that, on a non-contract cause of action, a plaintiff may recover punitive damages when they prove "by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice." (Civ. Code § 3294, subd. (a).)¿ The statute defines "fraud" as "an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." (Civ. Code, § 3294, subd. (c)(3).)

To properly support a request for punitive damages, a complaint must set forth these statutory elements and “include specific factual allegations showing that defendant’s conduct was oppressive, fraudulent, or malicious” because “[p]unitive damages may not be pleaded generally.” (Today's IV, Inc. v. Los Angeles Cnty. Metro. Transportation Auth. (2022) 83 Cal.App.5th 1137, 1193 [citing Brousseau v. Jarrett (1977) 73 Cal.App.3d 864, 872.].) The complaint “must allege ultimate facts of the defendant’s oppression, fraud, or malice,” and “malice is properly pleaded by alleging the wrongful motive, intent or purpose.” (Cyrus v. Haveson (1976) 65 Cal.App.3d 306, 316–17.) Complaints that contain conclusory statements and general allegations that plaintiffs suffered harm from “said intentional acts” while omitting any factual allegations of wrongful motive, intent, or purpose are inadequate. (Ibid.; see also Spinks v. Equity Residential Briarwood Apartments (2009) 171 Cal.App.4th 1004, 1055–56.)

Here, the Court agrees with Defendants that the Complaint does not sufficiently allege facts to support punitive damages. The Complaint merely states: “Defendants’ conduct was intentional, reckless, and in conscious disregard of their fiduciary obligations, justifying equitable relief, disgorgement, and, where applicable, punitive damages.” (Compl., ¶ 73.) This conclusory statement does not demonstrate evidence of malice, fraud, or oppression. Nor does the Complaint link any alleged conduct to malice, fraud, or oppression.

Accordingly, the motion to strike punitive damages is granted with leave to amend.

B. Production of Records and Damages from the Records Requests

Defendants argue that Plaintiffs have not asserted anything to outline that Defendants failed to adequately respond to their record requests. Defendants argue that Plaintiffs have not been adequately specific for certain categories of records.

In opposition, Plaintiff argues that the remedies are proper because they are allowed by Civil Code section 5235. According to section 5235, “[a] member may bring an action to enforce that member's right to inspect and copy the association records. If a court finds that the association unreasonably withheld access to the association records, the court shall award the member reasonable costs and expenses, including reasonable attorney's fees, and may assess a civil penalty of up to five hundred dollars ($500) for the denial of each separate written request.” (Civ. Code, § 5235.)

The Court does not find Defendants’ argument on the Motion to Strike to be persuasive. Defendants are arguing about whether facts in the Complaint were adequately pled, rather than providing a ground that makes compelling production of records improper. Defendants have not met their burden on the Motion to Strike. Furthermore, damages are expressly allowed as a remedy under section 5235. Accordingly, the motion to strike damages and an order compelling production of documents is denied.

C. Injunctive Relief

Defendants argue that injunctive relief should be stricken because it is a form of relief, not an independent cause of action. Defendants contend that, as argued in their Demurrer, the causes of action are not sufficiently plead.

Defendants seem to be confusing the standard on Demurrer with the standard on a Motion to Strike. The Court need not address again whether injunctive relief was sufficiently pled as a cause of action. The Court has already sustained the demurrer as to that cause of action. Defendants have not demonstrated how injunctive relief would be improper as a remedy and should be stricken. Accordingly, the motion to strike injunctive relief is denied.

D. Declaratory Relief

Defendants argue declaratory relief is improper because Plaintiffs’ allegations complain only of past wrongs that the Plaintiffs are seeking to redress. The Court agrees and has sustained the demurrer as to the declaratory relief cause of action on similar grounds. Because declaratory relief is improper, the Court grants the motion to strike declaratory relief without leave to amend.

E.
Restitution,
Disgorgement, and Similar Relief

Defendants seek to strike paragraph 6 of the prayer for relief which states: “For restitution, disgorgement, and recovery of any Association funds improperly expended, misused, or collected through unlawful assessments or unfair practices.” (Compl., Prayer for Relief ¶ 6.) Defendants argue that, based on paragraphs 110 through 113 of the Complaint, the demand for relief is doomed to fail because the demands are factually insufficient and legally incorrect.

These paragraphs Defendants reference exist within the cause of action for waste, which is a cause of action that the Court already sustained on demurrer. Additionally, the cause of action for unfair business practices, which also requests restitution, has also been sustained on demurrer.

However, Defendants have not met their burden to demonstrate that these remedies would be improper, irrelevant, or false in the context of the remaining causes of action that seek restitution, disgorgement, or similar relief. On that basis, the Court denies the motion to strike the prayer for relief for restitution, disgorgement, and similar relief.

F.
Demand
for Damages Related to Accounting

Defendants argue that the cause of action for accounting is improper because it is an equitable remedy. Moreover, even if the cause of action survives demurrer, Plaintiffs failed to mention that they could not be made whole via a legal remedy. Defendants argue the problem is that Plaintiffs’ claims are vague and conclusory and, thus, there are no damages.

In opposition, Plaintiff argues that accounting is plead in the prayer as an equitable remedy, not a cause of action. Moreover, Plaintiff contends that the Association controls all finances and it is impossible to determine the amount of improper expenditures without accounting.

The Court finds Defendants' arguments regarding the conclusory and vagueness of the Complaint to be unpersuasive. This is not the standard on a motion to strike. The Court need not again address whether the cause of action for accounting was adequately pled.

Accordingly, the motion to strike damages from accounting is denied.

G. Demand for Equitable Relief for Removal of Board Members

Defendants argue that the demand for equitable relief is unmeritorious because Plaintiffs have not alleged unsound mind as a ground to remove the board members. The Court finds this argument unpersuasive. The superior court of the proper county may, at the suit of one of the parties specified in subdivision (b), remove from office any director in case of fraudulent or dishonest acts or gross abuse of authority or discretion with reference to the corporation or breach of any duty arising as a result of Section 7238 and may bar from reelection any director so removed for a period prescribed by the court. (Corp. Code, § 7223.) Unsound mind is not necessary. Defendants have failed to meet their burden on the motion to strike.

Accordingly, the motion to strike equitable relief is denied.

MOTION REQUIRING PLAINTIFF SAKHAI TO FURNISH SECURITY

REQUEST FOR JUDICIAL NOTICE

Defendants request judicial notice of (1) Vexatious Litigant List Maintained by the Judicial Council of California, highlighting Plaintiff Moris Sakhai's presence on said list; (2) Order regarding Sakhai's (and the other plaintiffs'), February 11, 2026 Ex Parte Application; (3) Sakhai's Litigation history in Los Angeles

Superior Court, including a case filed by Sakhai against Co-Plaintiff Asi Rayn's wife, Zippora Atwain; and (4) Sakhai's (and the other plaintiffs') February 10, 2026 Ex Parte Application.

"Judicial notice may be taken of the following matters to the extent that they are not embraced within Section 451: … (c) Records of (1) any court of this state or (2) any court of record of the United States or of any state of the United States… (g) Facts and propositions that are of such common knowledge within the territorial jurisdiction of the court that they cannot reasonably be the subject of dispute. (h) Facts and propositions that are not reasonably subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy." (Evid. Code § 452.)

The requests for judicial notice as to the Vexatious Litigant List and Litigation history are granted. The Court finds these to be facts that are not reasonably subject to dispute and are capable of immediate and accurate determination.

As records of the court of this, the requests for judicial notice of the order and Ex Parte application previously filed in this matter. The Court takes notice that the Ex Parte application was filed in this court, and that the Ex Parte application was denied. However, the Court does not take judicial notice of the truth of any facts asserted in the Ex Parte application. (See Starr v. Ashbrook (2023) 87 Cal.App.5th 999, 1014.)

LEGAL STANDARD

In any pending litigation and at any time until final judgment is entered, a defendant may move the court for an order requiring the plaintiff to furnish security or for an order dismissing the litigation pursuant to subdivision (b) of Section 391.3. (Code Civ. Proc., § 391.1, subd. (a).) The motion for an order requiring the plaintiff to furnish security shall be based upon the ground, and supported by a showing, that (1) the plaintiff is a vexatious litigant and (2) that there is not a reasonable probability that they will prevail in the litigation against the moving defendant. (Ibid.)
A court has inherent power, upon a sufficient factual showing, to dismiss an action shown to be sham, fictitious or without merit in order to prevent abuse

of the judicial process. (Flores v. Georgeson (2011) 191 Cal.App.4th 881, 812.)

A prefiling order, issued pursuant to Code of Civil Procedure section 391.7, subdivision (a), does not require a vexatious litigant who is represented by counsel to obtain permission from the presiding judge to present litigation for filing. (Id. at pp. 883–84.) Retaining counsel does not insulate a vexatious litigant from an order to post security, but being represented by counsel does allow a vexatious litigant who is subject to a prefiling order to initiate litigation without first obtaining leave from the presiding judge. (Id. at p. 886.) When security that has been ordered furnished is not furnished as ordered, the litigation shall be dismissed as to the defendant for whose benefit it was ordered furnished. (Code Civ. Proc., § 391.4.)

DISCUSSION

A.
Vexatious Litigant

Defendants have demonstrated that Sakhai is a Vexatious Litigant by providing a Vexatious Litigant List maintained by the Judicial Council of California. The Court reviews the list and finds that Sakhai is on the list. (RJN, ¶ 1, Ex. 1.) Thus, Sakhai is a vexatious litigant.

B.
Probability of Prevailing

Nowhere in the Motion do Defendants provide law to explain the standard for the probability of prevailing on the merits. Defendants contend that there is not a reasonable probability that Sakhai will prevail in the litigation because the causes of action will not be able to survive demurrer or summary judgment. However, Defendants provide no case law to back up this contention. Case law cited by Defendants goes to the procedural grounds of moving for security against vexatious litigants and does not focus on the probability of prevailing in the litigation. Moreover, surviving summary judgment does not equate to the probability of prevailing in the litigation.

Further,

Defendants have failed to meet their burden to establish that Sakhai has no reasonable probability of prevailing on the causes of action. As seen in the accompanying demurrer, several causes of action were overruled. Therefore, Defendants have not been able to establish that there is no reasonable probability that Sakhai will prevail in litigation. Nor have Defendants provided arguments as to why the complaint should be dismissed in the alternative.

Accordingly,
the Motion for Relief is denied.

CONCLUSION

For the foregoing reasons, Defendants' Demurrer to Plaintiffs' Complaint is sustained in part and overruled in part. The demurrer to causes of action 1 though 9 are overruled. The demurrer to causes of action 10 through 14 is sustained without leave to amend. The demurrer to causes of action 15 is sustained with leave to amend.

Defendants' Motion to Strike is granted in part and denied in part. The Motion to Strike is granted with leave to amend as to punitive damages and without leave to amend as to declaratory relief. The reminder of the Motion to Strike is denied.

Defendants' Motion for Relief is denied.

DATED: July 14, 2026 ___________________________

Edward
B. Moreton, Jr.

Judge
of the Superior Court